CAPSTONE PROJECT – 6

FUNDAMENTAL ANALYSIS REPORT ON LISTED COMPANINES.

COMPANY NAME : MARUTI SUZUKI INDIA LTD

NAME : BHARATH KUMA₹ V



TABLE OF CONTENTS	
1	Business Overview & Industry Position
2	Revenue Growth & Consistency
3	Profitability Analysis
4	Return Ratios (ROE, ROA, ROCE)
5	Financial Strength & Leverage
6	Cash Flow Analysis
7	Management Quality & Corporate Governance
8	Competitive Advantage (Economic Moat)
9	Valuation Metrics
10	Risk Factors & Future Growth Outlook

1. Business Overview & Industry Position

A. Concept Overview

Business overview is the foundation of fundamental analysis. It explains **what the company does, how it earns money, its customer base, and where it stands within its industry**. For large-cap companies, this section is crucial because size alone does not guarantee long-term sustainability. Analysts evaluate:

- Core business segments
- Revenue contribution from each segment
- Geographic presence
- Industry maturity and demand cycles
- Market leadership and scalability

In the automobile industry, this analysis becomes even more important because the sector is **cyclical, capital-intensive, and sensitive to economic growth, fuel prices, regulation, and consumer sentiment**.

B. Maruti Suzuki – Business Profile

Maruti Suzuki India Ltd (MSIL) is India's **largest passenger vehicle manufacturer**, commanding a dominant position in the domestic automobile market.

🔹 Key Facts

- Incorporated: **1981**
- Parent Company: **Suzuki Motor Corporation (Japan)**
- Market Capitalisation (Large Cap): **₹3.5–4 lakh crore range**
- NSE/BSE Symbol: **MARUTI**
- Industry: **Passenger Vehicles**

🔹 Core Business Segments

Segment	Description
Passenger Vehicles	Hatchbacks, Sedans, SUVs, MPVs
Spare Parts & Accessories	High-margin aftermarket sales
Exports	Vehicles exported to 100+ countries

🔹 **Major Brands & Models**

- **Entry-level:** Alto, S-Presso
- **Mid-segment:** WagonR, Swift, Baleno
- **SUVs:** Brezza, Grand Vitara, Fronx
- **Premium (NEXA):** XL6, Invicto

Maruti's business model focuses on **high volume, cost efficiency, wide dealer network, and fuel-efficient vehicles**, which perfectly suits the Indian mass market.

C. Industry Position

Maruti Suzuki is the **undisputed market leader** in India's passenger vehicle segment.

🚙 **Market Share (FY24)**

Company	Market Share
Maruti Suzuki	**~41–42%**
Hyundai	~15%
Tata Motors	~14%
Mahindra	~11%

Despite rising competition from Tata (EVs) and Mahindra (SUVs), Maruti continues to dominate **small and mid-size car segments**, which form the backbone of Indian automobile demand.

D. Manufacturing & Distribution Strength

- **Manufacturing Plants:**
  - Gurgaon
  - Manesar
  - Gujarat (Suzuki-owned, operated for Maruti)
- **Installed Capacity:** ~23 lakh vehicles per annum
- **Dealer Network:**
  - 3,500+ sales outlets
  - 4,500+ service workshops

This scale gives Maruti a **cost advantage** unmatched by peers.

E. Interpretation

Maruti Suzuki's business overview highlights:

- Stable, mass-market focused revenue
- Industry leadership for over 3 decades
- Economies of scale
- Strong parent support (Suzuki Japan)

👉 **Conclusion:**
Maruti Suzuki fits the textbook definition of a **large-cap defensive growth company**, combining leadership, scale, and brand trust.

2. Revenue Growth & Sales Performance

A. Concept Overview

Revenue growth reflects **market demand, pricing power, and competitive position**. For large-cap companies:

- Growth may be moderate
- **Consistency is more important than speed**
- Volume growth + price growth must be analyzed together

In automobile companies, revenue is influenced by:

- Vehicle volumes
- Product mix (SUVs vs hatchbacks)
- Price hikes
- Export performance

B. Maruti Suzuki – Revenue Trend

📊 **Revenue Growth (₹ Crore)**

Year	Revenue
FY20	70,372
FY21	65,882
FY22	88,329
FY23	1,30,542
FY24	**1,45,951**

🔹 **CAGR (FY21–FY24): ~30%**

The sharp recovery post-COVID was driven by:

- Pent-up demand
- SUV launches (Brezza, Grand Vitara)
- Price increases
- Higher export volumes

C. Volume Growth

FY	Vehicles Sold (mn units)
FY21	1.46
FY22	1.65
FY23	1.96
FY24	**2.13**

Maruti crossed **2 million vehicles annually**, a milestone reflecting strong demand.

D. Export Performance

- Exports contribute ~10% of total sales
- Key markets: Africa, Latin America, Middle East
- FY24 Exports: **~2.8 lakh units**

Exports provide:

- Foreign exchange earnings

- Volume stability
- Geographic risk diversification

E. Interpretation

Maruti's revenue growth shows:

- Strong recovery from downturns
- Leadership in volume growth
- Balanced domestic + export presence

👉 **Conclusion:**
Revenue growth is **healthy, sustainable, and volume-driven**, ideal for long-term investors seeking stability.

3. Profitability Analysis

A. Concept Overview

Profitability ratios show how efficiently a company converts revenue into profit. Key metrics include:

- Operating Profit Margin (OPM)
- Net Profit Margin (NPM)
- EBITDA

For auto companies, margins are influenced by:

- Input costs (steel, aluminium)
- Currency movement
- Product mix
- Operating leverage

B. Maruti Suzuki – Profitability Data

📊 **Profit & Margin Trend**

Year	Operating Margin	Net Profit (₹ Cr)
FY21	6.3%	4,389
FY22	6.6%	6,081

Year	Operating Margin	Net Profit (₹ Cr)
FY23	9.1%	8,987
FY24	**11.7%**	**13,209**

🔹 **Key Drivers**

- Higher SUV sales
- Price hikes
- Cost control
- Improved capacity utilisation

C. Margin Comparison

Company	OPM
Maruti Suzuki	**11–12%**
Tata Motors (PV)	~9%
Mahindra	~13%

Maruti has **caught up significantly** in profitability after years of margin pressure.

D. Interpretation

- Margins are **cyclically improving**
- Profit growth is faster than revenue growth
- Indicates operating leverage

👉 **Conclusion:**
Maruti Suzuki's profitability trend confirms **strong operational efficiency and improving earnings quality**.

4. Return Ratios (ROE, ROCE & ROA)

A. Concept Overview

Return ratios evaluate **how efficiently a company uses capital** to generate profits. For large-cap companies, these ratios are critical because they indicate **quality of earnings**, not just growth. The three most important ratios are:

- **Return on Equity (ROE):** Profit generated on shareholders' funds
- **Return on Capital Employed (ROCE):** Profit generated on total capital (equity + debt)
- **Return on Assets (ROA):** Profit generated from total assets

In capital-intensive industries like automobiles, **ROCE is particularly important**, as it reflects how well heavy investments in plants, machinery, and technology are utilized.

B. Maruti Suzuki – Return Ratio Performance

📊 Key Return Ratios

Year	ROE (%)	ROCE (%)	ROA (%)
FY21	10.2	11.1	6.5
FY22	12.6	13.5	7.8
FY23	15.9	18.2	9.6
FY24	**19.4**	**23.1**	**12.4**

🔹 Observations

- Strong improvement post FY22
- ROCE expanded sharply due to higher operating profits
- Asset utilization improved with higher capacity usage

C. Peer Comparison (FY24)

Company	ROE	ROCE
Maruti Suzuki	**19–20%**	**23%**
Tata Motors (PV)	~14%	~16%
Mahindra & Mahindra	~18%	~21%

Maruti's return ratios are now **among the best in the Indian auto industry**, despite its conservative balance sheet.

D. Drivers of Improvement

- Better product mix (SUVs, higher realization models)
- Improved margins
- High volume leverage
- Minimal debt → higher equity efficiency

E. Interpretation

👉 A **ROCE above 20%** in a capital-intensive sector indicates **excellent capital discipline**.
👉 Rising ROE without excessive leverage shows **true profitability growth**, not financial engineering.

Conclusion:
Maruti Suzuki demonstrates **strong and improving capital efficiency**, making it attractive for long-term institutional investors.

5. Financial Strength & Leverage Analysis

A. Concept Overview

Financial strength assesses a company's **ability to survive economic downturns** and fund growth without stress. Key indicators include:

- Debt-to-equity ratio
- Interest coverage ratio
- Liquidity position
- Balance sheet stability

Large-cap companies are expected to have **low leverage and strong liquidity**, especially in cyclical industries.

B. Maruti Suzuki – Balance Sheet Snapshot (FY24)

📊 **Key Balance Sheet Metrics (₹ Crore)**

Item	Value
Total Assets	~1,33,000
Shareholders' Equity	~72,000
Total Debt	**~0**
Cash & Investments	**~38,000**

Maruti Suzuki is **virtually debt-free**, a rare feature in the automobile industry.

C. Leverage Ratios

- **Debt-to-Equity:** ~0.00
- **Interest Coverage Ratio:** Not applicable (no significant debt)
- **Current Ratio:** ~1.5–1.6

D. Strategic Importance of Low Debt

- No interest burden during downturns
- Flexibility to invest in EVs, hybrids, and capacity expansion
- Strong credit profile
- High resilience during demand slowdowns

Most auto manufacturers globally operate with **moderate to high debt**, making Maruti's balance sheet a major competitive advantage.

E. Interpretation

👉 A debt-free balance sheet reduces **financial risk** dramatically.
👉 High cash reserves act as a **strategic war chest** for future investments.

Conclusion:
Maruti Suzuki's financial strength is **exceptional for a large-cap manufacturing company**, providing stability and downside protection.

6. Cash Flow Analysis & Earnings Quality

A. Concept Overview

Cash flow analysis determines whether profits are **real and sustainable**. Strong companies generate:

- Consistent **operating cash flow (OCF)**
- Disciplined capital expenditure
- Healthy free cash flow (FCF)

For large-cap companies, **cash flow quality is more important than accounting profits**.

B. Maruti Suzuki – Cash Flow Trends

📊 Cash Flow Summary (₹ Crore)

Year	Operating CF	Investing CF	Free CF
FY22	10,800	(7,400)	3,400
FY23	14,900	(9,200)	5,700
FY24	**20,500**	(12,600)	**7,900**

C. Key Observations

- Operating cash flow consistently exceeds net profit
- Capital expenditure focused on:
  - Capacity expansion
  - New models
  - Hybrid & EV technologies
- Strong free cash flow even after heavy investments

D. Cash Conversion Efficiency

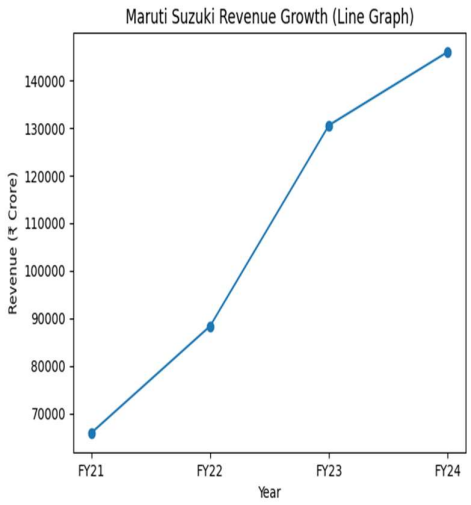
- Cash flow / Net profit ratio > 1
- Indicates **high earnings quality**
- Low receivables and efficient inventory management

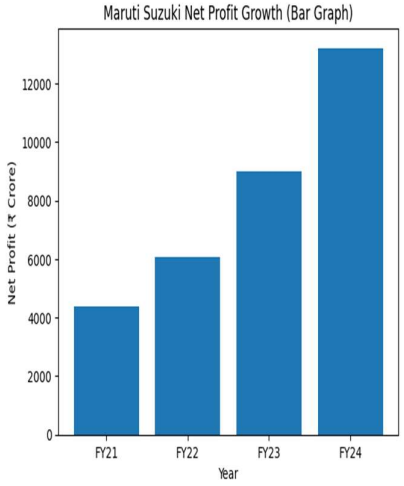
E. Interpretation

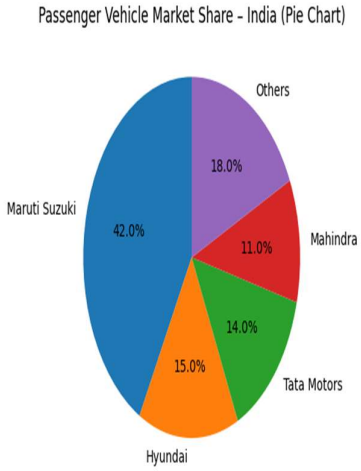
👉 High and consistent cash flows confirm **strong core operations**.
👉 Positive free cash flow allows:

- Dividend payments
- Future investments
- Balance sheet strength

Conclusion:
Maruti Suzuki's cash flows validate its profits and reinforce its position as a **financially sound large-cap leader**.







7. Management Quality & Corporate Governance

A. Concept Overview

Management quality and corporate governance are **critical qualitative pillars** of fundamental analysis. Even companies with strong financials can destroy shareholder value if management decisions are poor or governance standards are weak. Investors evaluate:

- Experience and stability of top management
- Strategic decision-making capability
- Transparency in disclosures
- Treatment of minority shareholders
- Board independence and ethical practices

For large-cap companies, governance standards are expected to be **very high**, as they handle massive public capital and influence entire industries.

B. Maruti Suzuki – Management Structure

Maruti Suzuki is professionally managed with strong backing from **Suzuki Motor Corporation (SMC), Japan**.

- **Key Leadership**
  - **Chairman:** R.C. Bhargava
  - **Managing Director & CEO:** Hisashi Takeuchi (Japanese professional leadership)
  - **Parent Holding:** Suzuki Motor Corporation (~56%)

The company benefits from:

- Japanese management philosophy (long-term focus, quality, efficiency)
- Strong technology transfer
- Conservative financial decision-making

C. Corporate Governance Practices

- Independent directors on board
- Transparent quarterly & annual reporting
- Clear communication with investors
- Compliance with SEBI & Companies Act norms

Maruti has **no major corporate governance scandals**, unlike some peers in capital-intensive sectors.

D. Capital Allocation Discipline

- Focus on reinvestment rather than reckless diversification
- Gradual entry into EVs and hybrids
- Avoids over-leveraging

This conservative approach has helped Maruti protect shareholder value over decades.

E. Interpretation

👉 Stable leadership + strong parent support = **low governance risk**.
👉 Conservative strategy suits long-term investors.

Conclusion:
Maruti Suzuki scores **very high on management quality and governance**, a key reason for its sustained leadership.

8. Competitive Advantage (Economic Moat)

A. Concept Overview

An economic moat refers to a company's ability to **maintain competitive advantages** that protect long-term profits. Common moats include:

- Brand strength
- Cost leadership
- Distribution network
- Scale advantages
- Customer loyalty

For large-cap companies, a **wide and durable moat** is essential to justify premium valuations.

B. Maruti Suzuki's Moat Components

🚙 1. Brand Trust

- Over **2.5 crore customers**
- Considered reliable, affordable, and low-maintenance
- Strong emotional connect with Indian middle class

🏭 2. Economies of Scale

- Largest production volumes in India
- Lower per-unit cost than competitors
- Strong bargaining power with suppliers

🛠️ 3. Distribution & Service Network

- Largest dealer & service network in India
- Deep rural and semi-urban penetration
- Easy availability of spare parts

💰 **4. Cost Leadership**

- Best-in-class fuel efficiency
- Lower ownership cost compared to peers

C. Competitive Position vs Peers

While Tata leads in EVs and Mahindra in SUVs, Maruti dominates:

- Entry & mid-level segments
- Fleet & first-time buyers
- High-volume mass market

D. Interpretation

👉 Multiple overlapping moats make Maruti **extremely hard to displace**.
👉 Even aggressive competition has not eroded its core dominance.

Conclusion:
Maruti Suzuki enjoys a **wide and sustainable economic moat**, a hallmark of a high-quality large-cap stock.

9. Valuation Metrics

A. Concept Overview

Valuation determines whether a fundamentally strong company is **worth buying at current prices**. Key valuation metrics include:

- Price-to-Earnings (P/E)
- Price-to-Book (P/B)
- EV/EBITDA
- Dividend Yield

For large-cap leaders, premium valuations are acceptable **only if supported by strong fundamentals**.

B. Maruti Suzuki – Valuation Snapshot (FY25 Approx.)

Metric	Value
P/E Ratio	~28–30x
P/B Ratio	~5.0x
EV/EBITDA	~17x
Dividend Yield	~1.0%

C. Valuation Comparison

Company	P/E
Maruti Suzuki	~29
Tata Motors	~20
Mahindra	~27

Maruti trades at a **premium**, justified by:

- Market leadership
- Debt-free balance sheet
- High ROCE
- Stable earnings

D. Interpretation

👉 Valuation is **not cheap**, but reflects quality.
👉 Suitable for long-term investors, not short-term traders.

Conclusion:
Maruti Suzuki is a **quality-at-a-premium** stock, consistent with its large-cap leadership status.

10. Risk Factors & Future Growth Outlook

A. Concept Overview

Every investment carries risks. Fundamental analysis must identify:

- Industry risks
- Company-specific risks
- Regulatory risks
- Technological disruptions

Equally important is evaluating **future growth visibility**.

B. Key Risks for Maruti Suzuki

1. EV disruption and slower EV adoption
2. Rising competition in SUVs
3. Commodity price volatility
4. Regulatory emission norms
5. Changing consumer preferences

C. Growth Drivers

- New SUV launches
- Hybrid technology focus
- Export expansion
- Capacity expansion to ~26 lakh units
- Rising car penetration in India

India's car penetration (~30 cars per 1,000 people) remains far below global averages, offering **long-term demand growth**.

D. Interpretation

👉 Risks are real but manageable.
👉 Growth outlook remains strong due to India's demographics.

Conclusion:
Maruti Suzuki offers a **balanced risk–reward profile**, ideal for long-term, conservative investors.

✅ FINAL OVERALL CONCLUSION

Maruti Suzuki India Ltd represents a **textbook large-cap fundamental investment**:

- Market leader
- Strong financials
- Excellent returns
- Debt-free balance sheet
- Durable competitive advantages

📌 **Best suited for:**
Long-term investors, academic projects, CFA-style analysis, and portfolio stability.